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Amending Acts

1. Act to Amend Some Nepal Acts, 2064 2064.05.09
2. Act to Strengthen the Republic and Amend Some Nepal Laws, 2066 2066.10.07
3. Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 2081.12.18
4. Act to Amend Some Nepal Acts, 2082 2082.04.14

Act No. 1 of the Year 2056

An Act Made to Provide for Legal Provisions Relating to Arbitration

Preamble: Whereas it is desirable to make the prevailing legal provisions relating to arbitration suitable to the times,

Be it enacted by the Parliament in the twenty-eighth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Arbitration Act, 2055".

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,?

(a) "Agreement" means a written agreement between the parties to submit to arbitration, whether or not contractual, all or certain disputes which have arisen or which may arise between them in respect of a defined legal relationship.

Explanation: For the purpose of this clause, a written agreement shall be deemed to exist if there is any of the following documents: (1) Any contract containing an arbitration clause, or any other separate agreement relating thereto, (2) Letters, telex, telegram, telefax, or other means of telecommunication of a like nature which provide a written record exchanged between the parties, amended by the Act to Amend Some Nepal Acts, 2064 to submit a dispute to arbitration, (3) A statement of claim submitted by a party to submit a dispute to arbitration, and the statement of defence filed by the opposing party without denying the submission of the dispute to arbitration. (b) "Party" means a party to the arbitration. (c) "District Court" means the district court having territorial jurisdiction over the place of arbitration specified in the agreement, or, if the place is not so

specified, over the place where the dispute arose or where the arbitral proceedings and award were made or where a party ordinarily resides. (d) "High Court" means the high court having territorial jurisdiction over the place of arbitration specified in the agreement, or, if the place is not so specified, over the place where the dispute arose or where the arbitral proceedings and award were made or where a party ordinarily resides. (e) "Dispute" means a dispute which may be resolved by arbitration under this Act. (f) "Counter-claim" means a claim made by the respondent against the claimant. (g) "Rejoinder" means a response made by the claimant against the counter-claim. (h) "Arbitrator" means an arbitrator appointed for the resolution of a dispute, and the term also includes an arbitral tribunal.

Chapter-2 Settlement of Disputes by Arbitration

3. Disputes to Be Settled by Arbitration: (1) Where an agreement provides for settlement of disputes by arbitration, any dispute relating to such agreement or the subject matter thereof shall, if the procedure is specified in the agreement, be settled accordingly, and if not so specified, shall be settled by arbitration under this Act. (2) Notwithstanding anything contained in subsection (1), if in respect of any civil suit of a commercial nature pending in a court that may be compounded under the prevailing law, the concerned parties file a petition requesting settlement of such dispute by arbitration, such dispute shall also be settled by arbitration. 4.

Abatement of Suit: (1) The court may order abatement of a suit instituted on a dispute which the parties wish to settle by arbitration under subsection (2) of section 3. (2) Notwithstanding anything contained in subsection (1), the court shall not order abatement of the suit in the following circumstances: (a) If it appears that a decision must be rendered on matters which are not capable of arbitration as well as on matters capable of arbitration, or (b) If any reasonable cause appears that the dispute cannot be decided by arbitration.

Chapter-3 Appointment and Office of Arbitrator

5. Number of Arbitrators: (1) The number of arbitrators shall be as specified in the agreement, and if not so specified, in general there shall be three arbitrators. (2) If the number of arbitrators appointed under the agreement is even, one additional person chosen by such arbitrators shall be added to make the number uneven. 6. Appointment of Arbitrator: (1) Unless otherwise agreed in the agreement, the process for appointing an arbitrator shall be commenced within three months from the date on which the cause for settlement of dispute by arbitration arises. (2) If the name of the person to be the arbitrator is mentioned in the agreement, such person shall be deemed to be appointed as the arbitrator. (3) If the agreement contains a separate provision regarding the appointment of an arbitrator, the arbitrator shall be appointed accordingly. (4) Unless otherwise agreed in the agreement, each party shall appoint one arbitrator, and the third arbitrator appointed by the two so-appointed arbitrators shall act as the presiding arbitrator. 7. Appointment of Arbitrator by Court: (1) A party may file a petition in the High Court for the appointment of an arbitrator in the following circumstances: (a) If the arbitrator cannot be appointed following the procedure specified in the agreement, (b) If nothing is mentioned in the agreement regarding the appointment of an arbitrator. (2) A petition filed under subsection (1) shall mention the names, surnames, addresses, occupations, and areas of expertise of at least three persons who may serve as arbitrators, and a copy of the agreement shall also be filed along with such petition. (3) Upon receipt of a petition under subsection (1), the High Court shall give notice to all parties; if all concerned parties agree on the person to be the arbitrator, the Court shall appoint the person proposed by them; if they cannot agree, the High Court shall, within sixty days from the receipt of such petition, appoint such person as it deems appropriate. The decision of the High Court in this regard shall be final. 8.

Filling Vacancy of Arbitrator in Special Circumstances: (1) If any arbitrator appointed for arbitration resigns, refuses to act, dies, or his seat falls vacant for any other reason, the vacancy shall, generally within thirty days from the date of such vacancy, be filled by appointing another arbitrator according to the same procedure by which the former was appointed. (2) If the vacancy of the arbitrator is not filled within the time limit under subsection (1), any party may file a petition in the High Court within fifteen days after the expiry of

such time limit. Upon receipt of such petition, the High Court shall, generally within fifteen days, appoint an arbitrator subject to section 7. 9. Arbitrator to Take Oath: (1) Before commencing the arbitral proceedings, the arbitrator shall sign two copies of a written oath of impartiality and honesty as set forth in the schedule, keep one copy in the case file, and send the other copy to the High Court. (2) Before taking an oath under subsection (1), if there is any circumstance that may reasonably give rise to doubt as to his impartiality or independence in relation to the dispute to be resolved, the arbitrator shall disclose such circumstance to the concerned parties. 10. Disqualification of Arbitrator: The following persons shall not be qualified to be appointed as an arbitrator: (a) A person who is disqualified from making a contract under the prevailing law, (b) A person who has been sentenced by a court for a criminal offense involving moral turpitude, (c) A person who has been adjudged insolvent or has been declared bankrupt, (d) A person who has any interest in the dispute subject to arbitration, (e) If a specific qualification is prescribed in any agreement for appointment as an arbitrator, a person who does not possess such qualification. 11.

Removal of Arbitrator: (1) The grounds and procedure for removal of an arbitrator shall be as specified in the agreement. (2) If the grounds and procedure are not specified in the agreement under subsection (1), any party may file a petition with the arbitrator within fifteen days from the date of knowledge of the appointment of the arbitrator or that his proceedings are not in accordance with this subsection, on any of the following grounds: (a) If it clearly appears that any arbitrator has acted partially or has shown bias or favoritism towards any party, (b) If any arbitrator has committed misconduct or fraud in the arbitral proceedings, (c) If any arbitrator has committed gross error or irregularity in the arbitral proceedings, (d) If any arbitrator has, without reasonable cause, failed to attend three or more meetings of the arbitral tribunal or refused to participate in the proceedings of the meeting, with the intent to unreasonably prolong or delay the arbitral proceedings, (e) If any arbitrator has acted contrary to the principles or rules of natural justice, or (f) If any arbitrator lacks the required qualification or does not possess the qualification. (3) If a petition is received under subsection (2), and the arbitrator sought to be removed does not voluntarily resign, or the other party does not agree to the grounds for removal, the arbitrator shall decide on the matter within thirty days from the receipt of the petition. (4) An appeal against the decision under subsection (3) shall lie to the High Court, and the order made by such Court shall be final. 12. Place of Office of Arbitrator: (1) The office of the arbitrator shall be at the following place: (a) If the place of the office of the arbitrator is mentioned in the agreement, at that place, (b) If the place of the office of the arbitrator is not mentioned in the agreement, at the place chosen by the parties, (c) If the parties do not choose such a place within fifteen days of the appointment of the arbitrator, or if there is no agreement between the parties in this regard, at the place determined by the arbitrator having regard to all relevant circumstances. (2) Notwithstanding anything contained elsewhere in this section, unless the parties have otherwise agreed, the arbitrators may, by mutual discussion, fix a venue at any other convenient place suitable for taking evidence of witnesses, obtaining expert opinion, or inspecting any document, goods, or site. 13.

Language to be Used in Arbitral Proceedings: The language to be used in the arbitral proceedings shall be as specified in the agreement, and if not specified, as determined by the parties by mutual discussion, and if not so determined, the language used in the agreement shall be the language to be used in the arbitral proceedings. Inserted by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 208113A. Fast Track Arbitration Service: Notwithstanding anything contained elsewhere in this Act, the parties may, by adopting fast track arbitration service as per the agreement or consent between them, settle the dispute. Chapter-4 Arbitral Proceedings and Powers of Arbitrator 14. Submission of Claim, Counter-claim, Defence or Rejoinder: (1) If the time limit for filing a claim is specified in the agreement, the claim shall be filed within that time limit; if no time limit is

specified but the name of the arbitrator is mentioned, the claim shall be filed within three months from the date the dispute that requires arbitration arises; if the arbitrator is appointed after the dispute arises, the claim shall be filed within three months from the date of appointment of the arbitrator.

When filing such a claim, the party shall specify in writing the points of disagreement and the relief sought, along with evidence, before the arbitrator, and a copy thereof shall also be given to the other party.

(2) After a claim is filed under subsection (1), unless otherwise agreed in the agreement, the other party shall file a defence to such claim within thirty days from the receipt of the claim.

(3) Within the time limit under subsection (2), the other party shall file a defence and also any counter-claim he may have in relation thereto; if a counter-claim is filed, the arbitrator shall give the claimant a period of fifteen days to file a rejoinder to such counter-claim, and if such rejoinder is filed, a copy thereof shall be provided to the party filing the counter-claim.

(4) If any party, due to circumstances beyond his control, is unable to file a defence or rejoinder within the time limit under subsection (2) or (3), he may file a petition with the arbitrator within fifteen days from the expiry of such time limit for extension of time, stating reasonable cause therefor, and if the cause stated in the petition appears reasonable, the arbitrator may, amended by the Act to Amend Some Nepal Acts, 2064 grant a reasonable extension of time as prayed for in the petition.

(5) When filing a claim, counter-claim, defence or rejoinder under this section, all documents relating to the dispute and any supporting evidence shall also be submitted. If a party wishes to prove any matter through witnesses, the names, surnames, and addresses of the witnesses shall be specified in the claim, counter-claim, defence or rejoinder, and on the date fixed by the arbitrator, the concerned party shall produce such witness before the arbitrator.

(6) Every party under this Act shall give to the other party a copy of any documents submitted to the arbitrator in the course of the arbitral proceedings. Inserted by the Act to Amend Some Nepal Acts, 2082(7) If, within the time limit specified under subsection (1), (2) or (3), a claim, counter-claim, defence against a claim, or rejoinder is not filed on behalf of a government office, or is filed late, or is handled negligently, the employee responsible for such act shall be subject to departmental action under the prevailing law relating to his service conditions. If such act constitutes an offense under the prevailing law, action shall also be taken for such offense. 15.

Termination or Continuation of Arbitral Proceedings: Unless the parties have otherwise agreed, the arbitral proceedings shall terminate or continue in the following circumstances: (a) If the claimant fails to file a claim within the time limit under subsection (1) of section 14, the arbitral proceedings shall terminate. (b) Even if a defence is not filed within the time limit under subsection (2) of section 14, the party not filing a counter-claim shall not be deemed to have admitted the claimant's claim on that ground alone, and the arbitrator shall continue his proceedings by evaluating the claimant's claim and the evidence adduced in support thereof. (c) If any party fails to appear at a hearing fixed by the arbitrator or fails to submit written evidence, the arbitrator may make an award based on the evidence produced, and a copy of such award shall also be sent to the defaulting party. 16. Competence of Arbitrator to Rule on Jurisdiction: (1) A party may raise a claim that the arbitrator does not have jurisdiction to adjudicate the dispute submitted to him, or that the contract from which the dispute arises is illegal, voidable, or ineffective; such claim may be submitted to the arbitrator, and the arbitrator shall, before commencing the proceedings submitted to him, rule on his jurisdiction or on the validity or effectiveness of the contract. (2) A party dissatisfied with a decision under subsection (1) may file a petition

in the High Court within thirty days from the date of such decision, and the decision of the High Court on the matter shall be final. (3) For the purpose of deciding on the validity or effectiveness of a contract under subsection (1), if a contract contains a provision for settlement of disputes by arbitration and such provision forms an integral part of the same contract, the arbitration provision in such contract shall be treated as a separate agreement.

Even if the arbitrator decides that the contract is void, invalid, or ineffective, such provision shall not, for that reason alone, be deemed to be legally void, invalid, or ineffective.

(4) A claim under subsection (1) cannot be made after the expiry of the time limit for filing a defence under subsection (2) of section 14.

(5) The mere fact that a party has appointed an arbitrator on his behalf, or has participated in, or consented to, the appointment of an arbitrator shall not deprive that party of the right to make a claim under subsection (1).

(6) A petition filed in the High Court under subsection (2) shall not be deemed to prevent the arbitrator from continuing his proceedings and making an award before the final disposal of such petition by that Court. 17. Procedure to be Followed by Arbitrator: (1) The procedure to be followed by the arbitrator in deciding the dispute shall be as specified in the agreement, and if not so specified, as provided in this Act. Provided that, in matters not provided for in this Act, the procedure shall be as determined by the arbitrator with the consent of the parties, and in the absence of such consent, as determined by the arbitrator himself.

(2) After the claim, defence, counter-claim or rejoinder required to be submitted before the arbitrator are filed, the arbitrator shall promptly commence the arbitral proceedings.

(3) The parties shall be informed of the date and time of the various arbitral proceedings, and a record of such information shall be kept in the relevant case file.

(4) In a dispute with three or more arbitrators, other arbitral proceedings, excluding the making of an award or final order, may be conducted by the arbitrators present.

(5) Even if a party fails to appear on the date and time of the arbitral proceedings after being informed under subsection (3), the arbitrator may continue the proceedings and make his award on the basis of available evidence.

(6) After the hearing before the arbitrator is concluded, the arbitrator shall order the hearing to be closed and record such fact in the case file, and thereafter no evidence shall be taken or hearing conducted from the parties.

(7) Unless otherwise agreed in the agreement, the arbitrator shall pronounce his written award generally within thirty days from the order made under subsection (6). 18.

Substantive Law to be Applied by Arbitrator: (1) Unless otherwise agreed in the agreement, the substantive law to be applied by the arbitrator shall be the law of Nepal. (2) The arbitrator may adjudicate the dispute *ex aequo et bono* or as *amiable compositeur* only if the parties have expressly authorized him to do so. (3) Notwithstanding anything contained elsewhere in this section, the arbitrator shall adjudicate the dispute in accordance with the terms of the relevant contract, and in doing so, shall also have regard to the usages of trade applicable to the relevant transaction. 19. Arbitration Hearing to be Confidential: Unless the parties otherwise desire, the arbitration hearing shall be held *in camera*. 20. Service of Notice and Summons: (1)

Notwithstanding anything contained in the prevailing law, if any notice in relation to arbitration or any summons relating to a hearing by the arbitrator or any process or notice is to be served on a party residing within Nepal deleted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066..... or outside Nepal deleted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066....., unless otherwise agreed in the agreement, such notice or summons may be served directly on the concerned party or sent to the address of the party by telex, telefax, telegram or other means of communication of a like nature which provide a written record, amended by the Act to Amend Some Nepal Acts, 2064 if such address is mentioned in the agreement or if, after the agreement, the parties have provided such address to each other or to the arbitrator. If no such means of communication or address is provided, service shall be made at the place of business or permanent residence of the concerned party. Notice given or summons served in this manner shall be deemed to be duly made. Provided that, when sending such summons or notice by post, it shall be sent by registered mail. (2) Notwithstanding anything contained in subsection (1), this provision shall not adversely affect the proceedings of a court. 21.

Powers of Arbitrator: (1) Unless otherwise agreed in the agreement, the powers of the arbitrator shall be as follows: (a) To summon parties before him, require them to produce documents, and take statements as necessary, (b) To examine witnesses, (c) To appoint an expert on a specific issue and cause an investigation or obtain an opinion, (d) If, because a party is a foreign national, the award given by the arbitrator is unlikely to be enforceable, to require a bank guarantee or other appropriate security as determined by the arbitrator, (e) To inspect, upon request of a party or if he deems fit, the site, goods, production, structure, production process or other matters related to the dispute, and if the goods are of a perishable or deteriorating nature, to consult the parties and sell them and deposit the proceeds, (f) To exercise any specific power granted by the parties, (g) To issue preliminary orders, interim orders or interlocutory orders on matters relating to the subject matter of the dispute upon request of a party, or make a conditional award, (h) To give certified copies of documents, (i) To exercise other powers conferred by this Act. (2) A party dissatisfied with an order made by the arbitrator under clause (f) of subsection (1) may file a petition in the High Court within fifteen days, and the decision of the High Court on the matter shall be final. 22. **Equal Opportunity to Parties:** (1) Every party shall be given sufficient and equal opportunity, subject to this Act, to present his case in the arbitral proceedings. (2) Any party may appear in the arbitral proceedings in person or through his representative, and may also appoint a legal practitioner on his behalf. 23. **Court Assistance for Taking Evidence:** Notwithstanding anything contained in the prevailing law, if it is necessary for the arbitrator to obtain court assistance for taking any evidence in relation to a dispute pending before him, the arbitrator may, on his own or upon the request of a party, make a request to the District Court for such assistance. Upon such request, the District Court shall, in accordance with the prevailing law, provide assistance in taking evidence. Chapter-5 Arbitral Award and its Enforcement 24.

Time Limit for Making Award: Subject to subsection (7) of section 17, unless otherwise specified in the agreement, the arbitrator shall deliver his award generally within one hundred and twenty days from the filing of the documents under section 14 before the arbitrator. 25. **Circumstances in Which Award Not to Be Made:** (1) If a matter on which the arbitrator cannot make an award is integrally connected to the subject matter of the arbitration, the arbitrator shall not make an award on such matter. (2) In the event of a situation under subsection (1) where an award cannot be made, the arbitrator shall give notice thereof to the concerned parties. (3) The concerned party may, within thirty-five days from the date of receipt of notice under subsection (2), file a complaint in the court, notwithstanding anything contained in the prevailing law. 26. **Arbitral Award:** (1) In case of three or more arbitrators, the opinion of the majority shall be deemed the arbitral award. (2) If the opinions of the arbitrators differ and a majority cannot be formed, the opinion of the presiding

arbitrator shall be deemed the arbitral award, unless otherwise agreed in the agreement. (3) Subject to subsection (4), each arbitrator shall sign the award. Provided that, if for any reason an arbitrator is unable to sign the award, the remaining arbitrators shall sign it stating the reason. (4) If any arbitrator disagrees with the arbitral award, he may express a dissenting opinion. 27. Matters to be Specified in Award: Unless otherwise specified in the agreement, the arbitrator shall clearly specify the following matters in the award: (a) A brief description of the dispute submitted for arbitration, (b) If any party has raised a question regarding the jurisdiction of the arbitrator, the basis for finding jurisdiction, (c) The findings of the arbitrator and the reasons and grounds for reaching such findings, (d) The subject matter or amount of compensation or relief to be paid, (e) Interest payable up to the day preceding the day on which the process of appointment of arbitrator is commenced, and the additional rate of interest payable after the expiry of the time limit under section 31 for enforcement of the arbitral award, (f) The place and date of the arbitral award. 28. Pronouncement of Award: The arbitrator shall read out the award in the presence of the parties and give one copy each to all concerned parties, and keep a receipt thereof with the case file.

If any party is absent at the time fixed for pronouncement of the award, or, being present, refuses to accept a copy of the award, the fact shall be noted and a copy of the award shall be forwarded to him with notice. 29. No Re-awarding: (1) Except when ordered by the High Court under section 30, once the arbitrator has made an award on the matter submitted to him, he shall not make another award on the same matter, unless it is to correct clerical, calculation, printing, typing or similar minor errors that do not affect the substance of the award, and to include any omitted matter. (2) If any party considers that errors in the arbitrator's award need to be corrected under subsection (1), he shall file a petition with the arbitrator within thirty days from the date of receipt of the copy of the award; and if the arbitrator considers it reasonable to correct such errors or include any omitted matter, he may, within fifteen days from the date of receipt of such petition, draw up a separate memorandum and correct the errors or include the omitted matter. If the arbitrator himself deems it appropriate to correct such matters, he may, within thirty days from the date of the award, draw up a memorandum, make corrections, and inform the concerned parties thereof. (3) Notwithstanding anything contained elsewhere in this section, if the arbitrator has not decided on any of the matters claimed by a party, such party may, with the consent of the other party, file a petition within thirty days from the date of the award for a decision on such matter, and upon such petition, the arbitrator may, within forty-five days from the receipt of the petition, make a supplementary award limited to that extent. (4) If, with the consent of the parties, any matter or part of the award is ambiguous and requires interpretation, any party may, after giving notice to the other party, request the arbitrator within thirty days from the date of the award to clarify the ambiguous matter, and upon such request, the arbitrator may, within forty-five days, clarify the ambiguous matter. 30.

Setting Aside of Award: (1) A party dissatisfied with the award may, within thirty-five days from the date of hearing the award or receiving notice of the award, if he wishes to have the award set aside, file a petition in the High Court attaching the relevant documents and a copy of the award, and shall give a copy thereof to the arbitrator and the concerned party. (2) If, upon a petition under subsection (1), the petitioner proves that the arbitral award contains any of the following matters, the High Court may order that the award be set aside or, as necessary, that a new award be made: (a) That a party to the agreement was, at the time of making the agreement, under some incapacity, or that the agreement is not valid under the law to which the parties are subject, or, if such law is not clear, under the law of Nepal, (b) That the petitioner was not given proper notice in time of the appointment of the arbitrator or of the arbitral proceedings, (c) That the award is on a matter not submitted to the arbitrator, or contrary to the terms of submission, or beyond the scope of

submission, (d) That the composition of the arbitral tribunal or its proceedings was not in accordance with the agreement between the parties, or, in the absence of such agreement, not in accordance with this Act, except in the case of an agreement contrary to the law of Nepal. (3) Notwithstanding anything contained in subsection (2), upon a petition under subsection (1), the High Court may set aside the arbitral award in the following circumstances: (a) If the dispute decided by the arbitrator is not capable of being resolved by arbitration under the law of Nepal, (b) If the award made by the arbitrator is contrary to the public policy. Inserted by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081..... policy. Inserted by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081(4) When hearing a petition filed under subsection (1), the court shall not conduct a hearing to re-examine the evidence on which the arbitrator relied. 31. Enforcement of Award: The parties shall enforce the award within forty-five days from the date of receipt of the copy of the arbitral award. Amended by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 208132.

Enforcement of Award by Court: (1) If the award is not enforced within the period under section 31, the concerned party may, within thirty days after the expiry of such period, file a petition in the District Court for enforcement of the arbitral award; and upon such petition, the District Court shall enforce the award as if it were its own judgment, within fifteen days in the case of an award made by fast track arbitration, and generally within thirty days in the case of other awards. (2) After the commencement of this subsection, the mere filing of a petition under subsection (1) of section 30 shall not prevent the enforcement of the arbitral award. (3) Notwithstanding anything contained in subsection (2), if a party filing a petition under subsection (1) of section 30 also files a separate petition requesting that enforcement of the arbitral award be stayed, the High Court may, until the disposal of such petition, stay the enforcement of the arbitral award in the following circumstances: (a) If the agreement or the arbitral award appears prima facie to be tainted with corruption or fraud, or (b) If the petitioner substantiates that irreparable loss would be caused to him. 33. Interest Payable: Unless otherwise agreed in the agreement, if an arbitral award requires a party to pay any amount to another party, having regard also to the nature of the business concerned, the interest rate determined by the arbitrator, not exceeding the prevailing interest rate applied by commercial banks to such transactions, shall also be payable. Provided that, amended by the Act to Amend Some Nepal Acts, 2082no interest shall be payable for the period from the day on which the process of appointment of arbitrator is commenced up to the time limit for enforcement of the award under this Act. 34.

Enforcement of Foreign Award: (1) A party wishing to enforce a foreign award in Nepal deleted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066 shall file a petition in the High Court attaching the following documents: (a) The original or a certified copy of the arbitral award, (b) The original or a certified copy of the agreement, (c) If the arbitral award is not in the Nepali language, an official translation thereof in the Nepali language. (2) If Nepal is a party to any treaty providing for the recognition and enforcement of foreign arbitral awards, an arbitral award made after the commencement of this Act in the territory of a foreign state party to such treaty shall, subject to the provisions of such treaty and the terms specified at the time of becoming a party, be recognized and enforced in Nepal deleted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066 in the following circumstances: (a) If the arbitrator was appointed and the award made in accordance with the law and procedure specified in the agreement, (b) If the parties were given due notice of the arbitral proceedings in time, (c) If the award was made limited to the terms of the agreement or the matters submitted to the arbitrator, (d) If the award has become final and binding on the parties under the law of the country where it was made, (e) If there is no

legal provision in the law of the country of the person filing the petition for enforcement of the arbitral award, or in the law of the country where the arbitration took place, that prevents the enforcement of an arbitral award made in Nepal deleted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066, (f) If the petition for enforcement is filed within ninety days from the date of the award. (3) If, on any petition under subsection (1), the High Court is satisfied that the conditions mentioned in subsection (2) are fulfilled, it shall send the award to the District Court for enforcement. (4) Notwithstanding anything contained elsewhere in this section, a foreign arbitral award shall not be enforced in the following circumstances: (a) If the dispute resolved by the award is of a nature not capable of being settled by arbitration under the law of Nepal, (b) If the enforcement of such award would be contrary to public policy.

Chapter-6

Miscellaneous

35. Costs of Arbitration Proceedings: (1) Unless otherwise specified in the agreement, the parties seeking arbitration shall pay such costs as may be fixed by the arbitrator after consultation with the parties present.

(2) Unless otherwise agreed in the agreement, the costs of the arbitral proceedings shall be borne by each party in such proportion as determined by the arbitrator, having regard to the relevant circumstances. 36.

Remuneration of Arbitrator: (1) The remuneration of the arbitrator shall be as specified in the agreement.

(2) If the remuneration of the arbitrator is not specified in the agreement, the parties shall pay such remuneration as fixed by the arbitrator after consultation with the parties present, and such remuneration shall be paid in full or as an advance as ordered by the arbitrator after consultation with the parties present.

37. Arbitrator to Refund Amount: If the dispute submitted before the arbitrator cannot be heard, or if the seat of the arbitrator falls vacant for any reason, and the arbitrator has already received remuneration under section 36, after consultation with the parties, he shall deduct the amount for the period he worked and refund the balance. Provided that, if an arbitrator is removed under section 11, if he has received any remuneration earlier, he shall refund the entire amount of such remuneration. 38. Devolution of Rights and Liabilities: If any party dies, disappears, or becomes insane after the commencement of arbitral proceedings under this Act, all rights and liabilities of such party shall devolve upon his heir entitled to his property under the prevailing law.

39. Exclusion of Jurisdiction of Court: Notwithstanding anything contained in the prevailing law, except as otherwise provided in this Act, no court shall have jurisdiction in matters regulated by this Act. 40. Parties

May Settle: If the parties to a dispute submitted for arbitration under this Act wish to settle, they may file a petition before the arbitrator stating the terms on which they wish to settle; and upon such petition, a consent award shall be made by the arbitrator, and no appeal shall lie against such award except on the ground that it is not in accordance with the consent. 41. Court Fee Payable: (1) Notwithstanding anything contained in the prevailing law, when enforcing an arbitral award, the party seeking enforcement shall pay to the concerned court, as fee for enforcement, an amount computed at the rate of 0.5 percent of the amount received from the enforcement of the award.